

ERG

Analyst Note: Q2 2026

Paycom Software

Enterprise Software Subsector

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paycom

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Note Summary

We are lowering our rating on Paycom to Hold and raising our fair value to \$207.65, roughly 8% below the current price of \$226.24. Second quarter results beat across the board and management raised full year guidance on every disclosed metric, lifting our FY26 adjusted EBITDA 5.7% and normalized EPS 15.4%. All three original theses are strengthened, two with reframing, with no invalidation trigger fired. Share price has risen roughly 70% since our July initiation and the consensus forward P/E multiple has grown from approximately 12x to 18.7x, far ahead of the estimate revision, and we add a fourth thesis holding that the market is capitalizing a one-time reduction in capital intensity, which accounts for 54% of this year's improvement in free cash flow, as a permanent operating capability. Key risks remain the SMB labor cycle, AI-native competition, and a slower upmarket transition, while the principal risk to our call is that capital expenditures settle nearer management's 6% guide than our 6.5%.

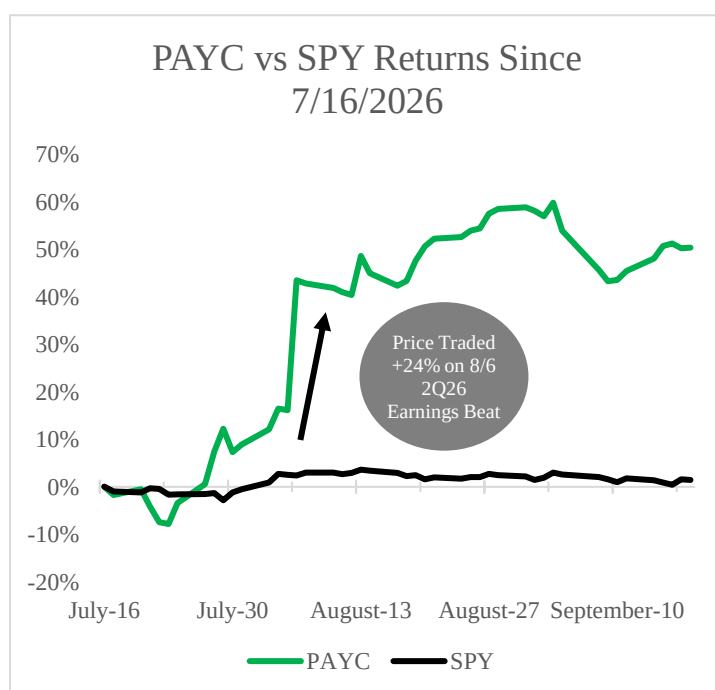
Change Summary

Metric	Previous	New	Change
Rating	BUY	HOLD	▼
Price Target (\$)	\$169.69	\$207.65	+22%
Implied Upside (%)	+27%	-8.2%	-35pp
FY26E EPS (\$)	\$9.36	\$10.80	+15.4%
Est. Direction	—	▲	Raised Guidance, Margin Expansion

Figures reflect GAAP values, Source: Analyst Estimates

Trading Data and Recent Price Movement

Trading Data	
Price (\$)	\$226.24
Date of Price	September 21, 2026
52-Week Range (\$)	104.90-244.98
Market Cap (\$M)	10,197
Enterprise Value (\$M)	10,981
Fiscal Year End	December 31
Shares O/S (M)	45.1
Float (M)	38.4
Avg. Daily Volume	654,000
Dividend Yield	0.66%
Price Target	\$207.65
Upside/Downside %	(8.2%)



Event Detail

Second Quarter Earnings Results

Paycom reported second quarter results on August 5 that came in ahead of both consensus and our estimates. Total revenue of \$531.2 million grew 9.8% against the prior year period, with recurring and other revenue of \$505.2 million up 11.0%, a re-acceleration against the 8% pace implied by prior guidance. Interest on funds held for clients declined 8.5% to \$26.0 million on lower rates, partially offset by a 9% increase in the average daily client fund balance. Adjusted EBITDA of \$235.0 million represented a 44.2% margin, an expansion of 320 basis points. GAAP earnings of \$2.34 per share grew 48%, and non-GAAP earnings reached \$2.78 per share.

Capital allocation was the quarter's other significant development. Paycom repurchased approximately 10.9 million shares in the first half at an average cost of \$128.48, returning roughly \$1.4 billion and reducing shares outstanding by 20% to 44.3 million. The program was funded in part by a \$900 million draw on a revolving credit facility that was amended and restated in April and expanded to \$2.125 billion, against a balance sheet that carried no debt entering the year. Paycom ended the quarter with \$198.0 million of cash.

Management also detailed several product developments. Project Arc, a system-wide release focused on customization and scalability, was described as the largest in company history. Asset Management was released in July as the company's 45th product, extending the platform into physical and digital asset tracking. Management cited solid early adoption of the career and succession planning solution released earlier in the year, and noted that clients are increasingly able to purchase additional applications in-app, bypassing the book sales process entirely.

Results vs. Consensus

(\$M unless noted)	Actual	Consensus	Surprise	YoY %
Revenue	531	513	+3.5%	+9.8%
ADJ EBITDA	235	214	+9.9%	+18.5%
EPS (\$)	2.34	1.91	+22.6%	+48.1%
FCF	190	94	+100.3%	+312.5%

Source: Bloomberg

Management Commentary & Guidance

Management raised full year guidance across every disclosed line. Total revenue moved to a range of \$2.197 billion to \$2.212 billion, implying 7% to 8% growth against the prior 6% to 7% range, and recurring and other revenue moved to 8% to 9% from 7% to 8%. Adjusted EBITDA guidance of \$1.007 billion to \$1.022 billion implies a record 46% margin at the midpoint. Management also guided free cash flow above \$650 million, capital expenditures near 6% of revenue, interest on funds held for clients of approximately \$105 million assuming rates hold, and stock-based compensation at 3% of revenue. Chad Richison attributed roughly \$100 million of research and development savings this year, plus \$30 million or more in avoided third-party inference fees, to the datacenter build completed in the prior year. Separately, the filing attributes reductions in employee-related expense across cost of revenue, research

and development, and general and administrative to headcount reductions enabled by automating internal systems.

Capital allocation received the least forward detail. Asked directly whether the buyback remains the top priority or whether allocation becomes more balanced against building dry powder, Richison redirected to capital expenditures and the question was not returned to. Foster subsequently volunteered the free cash flow figure but, when asked twice by separate analysts for a framework governing EBITDA to free cash flow conversion beyond 2026, provided none. The program retains approximately \$1.66 billion of authorization with no expiration, and the repurchases executed through the first half were explicitly framed as a response to a perceived valuation disconnect.

Our Interpretation

The quarter was better than we underwrote, and the stock moved further than the quarter justified. Our FY26 adjusted EBITDA estimate rises 5.7% and our normalized EPS 15.4%, while the shares have advanced roughly 70% from our initiation price of \$133.27 on July 9. Forward earnings multiple expansion accounts for nearly all of the difference, with consensus moving from approximately 12x at initiation to 18.7x today. That gap between estimate revision and multiple revision is the substance of our rating change. We are raising our fair value 22% to \$207.65 and lowering our rating to Hold, not because the business underperformed expectations but because the price now sits higher than what our analysis supports.

Each of our three original theses is strengthened, two with crucial reframing. The architectural advantage gained a new and previously unobservable expression in the in-app purchasing channel, revenue per record continued to rise on every reasonable estimate of record growth, the cost efficiency thesis was confirmed by broad-based operating leverage across all four expense lines, and none of our invalidation triggers fired. What ultimately changed is the price, and what we now identify as mispriced is not the operating performance but its durability, specifically the extrapolation of a free cash flow conversion rate that a one-time reduction in capital intensity produced.

Two elements of our valuation frame the conclusion. First, our intrinsic and relative methods diverge by 22%, with the two discounted cash flow variants averaging \$187.77 against \$228.47 from comparable companies. The divergence is primarily a result of the increased discount rate and beta after the large swing in price. Peer multiples embed betas near 0.58, while we discount PAYC at a 9.95% weighted average cost of capital on a raw beta of 1.02. As a result, the relative valuation implicitly assumes Paycom carries peer-like risk and our cash flow methods do not. Second, the scenario asymmetry that anchored our initiation has flipped. At initiation our scenario set implied 55% upside to the bull case against 13% downside to the bear, an imbalanced ratio of roughly four to one in our favor based on the mispricings we identified prior to Q2. The same framework, weights, and method now imply 17% upside against 31% downside. We wrote at initiation that our conviction was supported by the setup's asymmetry, and that asymmetry no longer holds.

Estimate Revisions

Our FY26 revenue estimate is essentially unchanged at \$2,222.9 million. The revision is concentrated below the top line, where adjusted EBITDA rises 5.7% to \$1,017.0 million and the margin moves 240 basis points to 45.8%, and normalized EPS rises 15.4% to \$10.80. The drivers are the margin reset following management's guidance raise, a rebuilt depreciation schedule reflecting the roll-off of FY23 through FY25 capitalized software vintages, and a lower capital expenditure trajectory. Stock-based compensation falls to 3.5% of revenue in FY26 from 5.8% in FY25, and the share count declines to a 45.9 million average from the 49.4 million we previously modeled following first half repurchases of 10.9 million shares. Our estimate revisions do not reflect a change in our demand assumptions.

We model FY26 total revenue slightly above the guided range of \$2.197 billion to \$2.212 billion, and state the basis explicitly. The guidance midpoint of \$2,204.5 million implies second half revenue of \$1,101.4 million against \$1,103.1 million reported in the first half, a sequential decline of 0.2%. Paycom posted a 2.3% sequential increase in FY25, and the fourth quarter is seasonally the strongest period because unscheduled payroll runs are most common during bonus season. Our forecast implies a 1.6% sequential increase, still below the prior year's seasonal pattern. We therefore read the guidance as conservative rather than as a signal of second half deceleration, consistent with a management team that has met or exceeded initial full year revenue guidance in each of the last two years.

Old vs. New Estimates

(\$M unless noted)	FY26E Old	FY26E New	Δ %	Comment
Revenue	2,217.8	2,222.9	+0.2%	Recurring raised above guidance on normal 2H seasonality, offset by float cut to the \$105M guide
Revenue Growth (%)	8.1%	8.3%	+20bps	Recurring re-acceleration to 9.2% offsets a lower float yield of 3.7% against 4.2%
ADJ EBITDA	962.5	1,017.0	+5.7%	Guidance raised on broad-based cost leverage, not the R&D savings management cites
ADJ EBITDA Margin (%)	43.4%	45.8%	+240bps	Cash OpEx growth of 3.0% against revenue growth of 8.8% across all four expense lines
Normalized EPS (\$)	\$9.36	\$10.80	+15.4%	Margin raise and a 45.9M average share count against 49.4M prior, partly offset by a 29% tax rate

Sources: Analyst Estimates

Thesis Points

Existing Thesis Points

Thesis (One-Line Claim)	Status	Update / Commentary	Trigger Check
Architectural differences drive long-term competitive advantage	Strengthened	Project Arc, Asset Management, and In-App purchasing released, but no new retention or client record data	Clear
The Street overprices cannibalization risk	Strengthened, but reframed	Revenue accelerating yet bookings flat, no new product contribution, stable employment and MD&A verbiage, suggests RPR growth.	Inferred Clear
Automation-driven structural cost efficiency sustains margins	Strengthened, but reframed	Raised Margin guidance citing R&D savings, decomposition below	Clear

Sources: Analyst Estimates and Company Filings

Architectural differences drive long-term competitive advantage

Two developments strengthen this thesis. Project Arc, the largest system-wide release in company history, delivered a reported 4x system performance gain at a client with over 10,000 employees, and Asset Management followed in July as the 45th product. Both reached the installed base without re-implementation, which is the mechanism the thesis rests on.

The more important development was in-app purchasing. Clients have been able to buy applications in-app for roughly two years, but this is the first quarter management framed the channel as meaningful, and Richison identified career and succession planning as a product built specifically to allow it. Because every application draws on one dataset, a new module can be purchased and provisioned by an existing client without additional integration work, so recurring revenue grows without the incremental sales cost a booked deal carries. It also means bookings will capture a progressively smaller share of expansion revenue, and we will monitor the gap between bookings commentary and reported recurring growth.

We monitor annual revenue retention below 90% as the invalidation trigger for this thesis. Retention is disclosed annually, so there is no update this quarter.

The Street overprices cannibalization risk

Blended revenue per employee record, recurring revenue divided by client employee records, remains the metric that adjudicates the cannibalization debate. Records are disclosed annually, but the disclosed data bounds the answer: recurring growth is the product of record growth and per-record growth, so with recurring revenue up 10.9% in the quarter and 9.8% in the first half, per-record revenue could only have

fallen if records grew faster than 9.8%. Against a 3% to 6% historical range, per-record growth lands between 3.6% and 6.6%, and the conclusion holds across the range.

The qualitative evidence points to the upper half. Richison described the beat as broad-based and from the same buckets as always, bookings came in as expected, new products did not contribute meaningfully, and client employment was stable. With volume-led explanations ruled out, record growth likely sat at the low end of its range. The 10-Q attributes the increase to new clients, cross-sell, increased usage, and pricing, offset by attrition concentrated among smaller clients. Four of those five raise revenue per record, and small-client attrition raises the blended figure through mix.

The concession is client mix. When asked whether revenue from clients above 1,000 employees still outgrew the total, Richison said the profile of client size did not change in the quarter. We read that as a non-confirmation rather than a refutation, but we are tempering our confidence in the pace of the upmarket shift and now attribute part of the upward drift in average client size to churn at the bottom rather than wins at the top.

We monitor per-record revenue declining year over year for two consecutive quarters as the invalidation trigger. Per-record revenue grew under every record growth assumption within its historical range. Not triggered.

Automation-driven structural cost efficiency sustains margins

Adjusted EBITDA margin reached 44.2%, up 320 basis points, with full year guidance raised to a record 46% at the midpoint. Capitalized costs to fulfill fell 19.3% in the first half against 9.8% recurring growth, a sharper decline than the 10.9% reduction in FY25 that anchored the thesis at initiation. The 10-Q also states that automating core business systems produced headcount reductions, the first time the company has attributed cost savings to internal automation in a filing.

The strongest evidence is breadth. Cash operating expenses excluding stock-based compensation grew 3.0% against revenue growth of 8.8%, savings which were spread across all four expense lines. Cost of revenue operating expenses fell in absolute dollars, from \$134.8 million to \$127.5 million, lifting gross margin from 83.0% to 84.0%.

Management's framing is the complication. Richison attributed roughly \$100 million of R&D savings to the datacenter build, and total R&D cost did fall \$54.2 million in the first half, which annualizes near that figure. But \$29.7 million is lower capitalization of software development costs, which lands in capex and never reaches EBITDA, and \$18.6 million is stock-based compensation, which adjusted EBITDA adds back and therefore excludes by construction. Cash R&D expense fell \$5.9 million, roughly \$12 million annualized. Richison separately cited \$30 million or more of avoided third-party inference fees, which would appear in cost of revenue rather than R&D and is at least partly visible in the decline on that line. The margin expansion is real and durable, but it is broad-based operating leverage rather than the R&D windfall management describes.

We monitor adjusted EBITDA margin falling below 42% for two consecutive quarters, absent a one-time item, as the invalidation trigger. At 44.2% reported and 46% guided, the margin clears it by a wide margin. Not triggered.

New Thesis Points

The Street is overstating long-run FCF due to a one-time CapEx trough

Paycom guided full year free cash flow above \$650 million against \$408.0 million in FY25, and consensus sits at \$655 million, essentially on the guide. Management described the convergence between EBITDA margin and free cash flow margin as sustainable and driven by process and labor efficiencies. Asked twice by separate analysts for a framework governing EBITDA to free cash flow conversion beyond 2026, management provided none. The Street normalizes conversion only modestly, from roughly 64% to 62.8%, while we model a materially faster return toward historical capital intensity.

Normalized for large one-time tax items in both years, free cash flow moves from roughly \$320 million in FY25 to roughly \$574 million in FY26, an improvement of \$254 million. All figures below are on this normalized basis, and we uncover the one-time stepdown in CapEx as the main driver responsible for the headline FCF figure. Purchases of property and equipment fell from \$270.9 million in FY25, or 13.2% of revenue, to a guided 6% of revenue of roughly \$132 million, and ran at 5.0% of revenue in the first half. That \$139 million reduction is larger than the \$132 million of adjusted EBITDA growth guided for the same year. More than half of the free cash flow improvement comes from a single line falling by nearly half, and a shift of that magnitude can only occur once rather than repeating.

FY26E FCF Improvement Bridge

Source of FY26E FCF Improvement	Amount (\$M)	Repeatable?
Adj EBITDA Growth	+132.2	Yes
CapEx Step-down	+138.6	No
Working Capital, Deferred contract costs, other	(16.4)	Partially
Total, normalized	+254.4	

Sources: Analyst Estimates and Company Filings. Note that Adj EBITDA growth is based on the midpoint of managements FY26 guidance, and not modeled estimates.

The effect is clearest in the change of the FCF conversion rate. Normalized free cash flow conversion of adjusted EBITDA rises from 36.3% in FY25 to 56.6% in FY26, an improvement of 20.3 points. Capital expenditures fall from 30.7% of adjusted EBITDA to 13.0% over the same period, contributing 17.7 points or 87% of the improvement in conversion rate, or 54% of the FCF improvement in dollar terms. Underwriting the FY26 conversion rate as the long-term run rate means underwriting a capital intensity level rather than operating capability, and is a position we dispute in this thesis.

We do not dispute the guided figure. Our own FY26 estimate reaches \$647.8 million on a comparable basis, adding back stock-based compensation of \$77.8 million to our levered free cash flow of \$570.0 million, within 1% of both the guide and consensus. Our disagreement is in the normalization path across the following periods. Capitalized software represented 75% of 1H capital expenditures and fell 42% year over year, from \$70.7 million to \$41.0 million, which places capital expenditures and research and development on the same trajectory for the same reason. Management has guided to accelerating product releases and stated that more are in the pipeline for next year, and we do not think a firm can sustain that cadence while permanently halving the capitalization rate that funds it. We model capital expenditures

returning to 6.5% of revenue from FY27, a modest disagreement with management, on the basis that long-run capex will climb to levels that can sustain their accelerated new product deployment cadence.

The sizing is material. Consensus FY27 free cash flow of \$694.9 million compares to our \$662.7 million, a difference of \$32.2 million, or 62.8% conversion against 59.9% on the same EBITDA base. Capitalized at our 9.95% WACC and 2.5% terminal growth, this results in \$430 million of enterprise value, or nearly \$10 per share. This is the largest identifiable component of our discount to the current price, and the reason our fair value sits below it despite all three original theses strengthening after Q2.

This is the same pattern we identify in our third thesis: a headline improvement attributed to operating performance where the real savings sat in capitalization and stock compensation rather than the durable operating base. Two instances in a single quarter suggest a disclosure posture worth monitoring rather than two isolated events.

We would consider this thesis invalidated if free cash flow conversion sustains above 60% of adjusted EBITDA for a full year (excluding one-time items), with capital expenditures holding near 6% of revenue while product release cadence continues at the current pace. We note that the One Big Beautiful Bill Act provisions are expected to continue benefiting cash taxes, though to a lesser extent and in an amount the filings do not separately quantify, which introduces some imprecision into any forward conversion estimate.

Updated Financial Model

Income Statement (Condensed)

(\$M unless noted)	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Revenue	1,883.2	2,051.7	2,222.9	2,430.7	2,641.9	2,874.4
YoY Growth (%)	11.2%	8.9%	8.3%	9.3%	8.7%	8.8%
Gross Profit	1,548.6	1,706.3	1,874.5	2,067.3	2,264.3	2,486.2
Gross Margin (%)	82.2%	83.2%	84.3%	85.1%	85.7%	86.5%
EBITDA	780.2	743.5	939.2	1,033.0	1,142.6	1,250.4
EBITDA Margin (%)	41.4%	36.2%	42.3%	42.5%	43.3%	43.5%
EBIT	634.3	567.2	734.2	833.0	947.6	1,070.4
Net Income	502.0	453.4	501.4	564.3	667.3	767.9
Diluted EPS (\$)	8.92	8.08	10.94	13.26	15.68	17.80
Diluted Shares (M)	56.3	56.1	45.9	42.6	42.6	43.2

Sources: Analyst Estimates

Note: Diluted EPS is as reported. Normalized diluted EPS, excluding the \$9.0 million naming rights gain recognized in 1Q26, is \$10.80 for FY26 and is the figure shown in our change summary and estimate revisions. Adjusted diluted EPS, adding back stock-based compensation at the guided 27% non-GAAP tax rate, is \$12.34 and is the figure applied in our relative valuation and scenario analysis. Our normalized figure compares to consensus GAAP EPS of \$10.86 and our adjusted figure to consensus non-GAAP EPS of \$12.09. The FY29 average share count rises to 43.2 million from 42.6 million as issuance from equity awards exceeds a reduced repurchase pace in the outer years.

Free Cash Flow Build (Condensed)

(\$M unless noted)	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
NOPAT	490.3	415.2	521.3	595.6	682.3	770.7
D&A (+)	145.9	176.3	205.0	200.0	195.0	180.0
Increase in Deferred Contract Costs (–)	(125.5)	(92.9)	(61.6)	(51.9)	(61.8)	(72.0)
CapEx (–)	(192.9)	(270.9)	(133.4)	(158.0)	(171.7)	(186.8)
Change in WC (–/+)	11.5	(85.1)	75.5	23.5	13.7	15.1
Deferred Income Tax (+)	5.8	154.4	—	—	—	—
Unlevered FCF	335.2	297.1	606.9	609.3	657.5	707.0
UFCF Margin (%)	17.8%	14.5%	27.3%	25.1%	24.9%	24.6%
Levered FCF	331.8	293.7	570.0	565.5	636.8	703.2
FCF Yield (%)	3.3%	2.9%	6.0%	6.0%	6.4%	6.9%

Source: Analyst Estimate, Bloomberg

Note: FCF yield is unlevered free cash flow divided by current market capitalization of \$10,197 million. We model stock-based compensation at 3.5% of revenue in FY26 against management's 3% guide, as unrecognized compensation cost of \$137.0 million over a weighted average 1.5 years implies roughly \$90 million annually from awards already granted and the guided figure reflects a first-half forfeiture trough.

Valuation Update

Relative Valuation

Peer Multiple Detail

Company	Ticker	Enterprise Value	EV/Revenue*	EV/EBITDA (ADJ)	P/E (FY1E)
Paycom Software	PAYC	10,981	4.2x	12.4x	18.7xⁱ
Automatic Data Processing, Inc.	ADP	111,834	4.1x	14.4x	22.7x
Paychex, Inc.	PAYX	46,024	5.9x	12.1x	20.0x
Paylocity Holding Corporation	PCTY	7,721	3.1x	11.0x	16.6x
Peer Average	—	55,193	4.4x	12.5x	19.8x
Peer Median	—	46,024	4.1x	12.1x	20.0x
PAYC Premium / (Discount) to Median		(35,043)	0.1x	0.32x	(1.32x)

Source: Analyst Estimates, Bloomberg, Pitchbook

*Note: We exclude EV / Revenue in the valuation due to limitations in the comps set. Inclusion rewards lowest margin names excessively and ignores difference in business models across a small comps set. Data is pulled from Bloomberg and included for context, but is not used in the valuation.

ⁱ Note: PAYC's forward P/E is calculated on consensus FY26 non-GAAP EPS of \$12.09 for comparability with peer multiples, which are on the same basis. Our relative valuation applies the warranted multiple to our own adjusted EPS of \$12.34.

Relative Valuation

Metric	PAYC Value	Peer Avg.	Discounted Avg.	Implied EV (\$M)	Implied Price (\$)
P / EPS	18.7x	19.8x	19.2x	11,466	\$237.00
EV / ADJ EBITDA	12.4x	12.5x	12.1x	10,698	\$219.95

Source: Analyst Estimates, Bloomberg. P/E uses FY26E figures., while EV/ ADJ EBITDA uses FY25 historical data

Discounted Cash Flow Analysis**Present Value UFCF Bridge**

(\$M)	FY26E	FY27E	FY28E	FY29E	Terminal
UFCF	606.9	609.3	657.5	707.0	758.0
Discount Factor	1.05	1.15	1.27	1.39	
PV of UFCF	578.8	528.4	518.7	507.2	

Source: Analyst Estimates

Note: The terminal column is a normalized steady-state year rather than FY29 grown forward. Capital expenditures are set equal to D&A at 6.5% of revenue, and net investment in deferred contract costs and working capital is set to the 2.5% terminal rate applied to FY29 closing balances. We discount full-year FY26 cash flow under a mid-year convention from January 1 while the equity bridge uses June 30 net debt and the September 21 share price; we retain this convention for consistency with initiation

DCF Valuation – Perpetuity		DCF Valuation – Exit EBITDA	
Terminal Year UFCF (\$M)	758.0	Terminal Year EBITDA (\$M)	1,250.4
Terminal Growth Rate (%)	2.5%	Exit Multiple (x)	8.50x
Terminal Value (\$M)	10,169.1	Terminal Value (\$M)	10,628.0
PV of Terminal Value (\$M)	6,957.3	PV of Terminal Value (\$M)	7271.2
Sum of PV(UFCF) (\$M)	2,133.1	Sum of PV(UFCF) (\$M)	2,133.1
Enterprise Value (\$M)	9,090.4	Enterprise Value (\$M)	9,404.4
Less: Net Debt (\$M)	(784.8)	Less: Net Debt (\$M)	(784.8)
Equity Value (\$M)	8,305.6	Equity Value (\$M)	8619.6
Diluted Shares Outstanding (M)	45.07	Diluted Shares Outstanding (M)	45.07
Implied Share Price (\$)	\$184.28	Implied Share Price (\$)	\$191.25

Source: Analyst Estimates

Source: Analyst Estimates

Change Decomposition from Prior DCF Target

Driver	Δ Implied Price (\$)	Running Implied Price (\$)
Prior DCF Price Target	—	\$173.56
Estimate revisions (FCF)	+45.28	\$218.84
Terminal assumption change	—	\$218.84
Net debt / share count	-3.89	\$214.95
WACC change	-\$27.18	\$187.77
New DCF Price Target	—	\$187.77

*Source: Analyst Estimates***Sensitivity Analysis****WACC vs. Terminal Growth Rate**

WACC ↓ / g →	1.5%	2.0%	<u>2.5%</u>	3.0%	3.5%
9.0%	190.24	201.29	214.03	228.90	246.47
9.5%	177.13	186.60	197.42	209.91	224.47
<u>9.95%</u>	166.58	174.88	<u>184.28</u>	195.04	207.47
10.5%	155.32	162.45	170.47	179.56	189.95
11.0%	146.15	152.41	159.39	167.26	176.17

*Sources: Analyst estimates***WACC vs. Exit Multiple**

WACC ↓ / x →	7.5x	8.0x	<u>8.5x</u>	9.0x	9.5x
9.0%	178.13	187.96	197.78	207.61	217.44
9.5%	175.03	184.68	194.32	203.97	213.62
<u>9.95%</u>	172.27	181.76	<u>191.25</u>	200.74	210.23
10.5%	169.02	178.33	187.63	196.93	206.24
11.0%	166.12	175.25	184.39	193.53	202.67

Sources: Analyst estimates

Probability-Weighted Scenarios

Scenario	Prob. (%)	FY26 EPS (\$)	Multiple (x)	Implied Price (\$)	Key Assumptions
Bull	30%	\$13.42	19.8x	\$265.72	Deceleration reverses, automation products drive revenue and margin expansion, new products drive client growth and monetization
Base	45%	\$12.34	19.2x	\$237.00	Revenue growth follows guidance, margin growth stabilizes, base buyback, standard discount
Bear	25%	\$11.24	13.9x	\$155.79	New products struggle to convert into revenue, margin gains reverse, buyback stops, client record growth slows due to competitive pressure or labor cycle downturn, discount widens to ~30%
Probability-Weighted Price Target				\$225.31	—

Source: Analyst Estimates

Valuation Summary

Method	Implied Price (\$)	Weight (%)	Contribution (\$)
DCF – Perpetuity Growth	\$184.28	25%	46.07
DCF – Exit Multiple	\$191.25	25%	47.81
Comparable Company Analysis	\$228.47	35%	79.97
Probability-Weighted Scenarios	\$225.31	15%	33.80
Blended Price Target		100%	\$207.65

Source: Analyst Estimates

We derive a fair value of \$207.65 by blending four methods on the same weights used at initiation, 25% to each discounted cash flow variant, 35% to comparable companies, and 15% to probability-weighted scenarios. The framework is unchanged from our initiation so that the revision reflects changed inputs rather than a changed method.

Three inputs moved materially. Our free cash flow forecast rises on the margin improvement and lower capital expenditures, adding \$45.28 to the discounted cash flow output. The weighted average cost of capital rises from 8.60% to 9.95%, reducing it by \$27.18, driven by a raw beta of 1.023 against 0.82 at initiation and a rising 10Y treasury risk-free rate of 4.99% against 4.74%. Partially offsetting changes to

net debt and share count together reduce it by \$3.89, as \$784.8 million of net debt (lease-inclusive) replaces \$609.7 million while the share count falls to 45.07 million from 46.63 million.

We use the raw beta of 1.023 and note that the increase from 0.82 at initiation reflects the volatility following a 70% price move and may prove temporary. We also recognize the discount rate as the single most consequential input in the model, where using the initiation's 8.60% cost of capital, our perpetuity method would imply approximately \$224 rather than \$184.

Our comparable company analysis narrows the warranted discount to peers from 6.0% to 3.0%. Paycom is now larger, grows faster than the peer average at 8.95% against 7.79%, and retains its margin leadership, which offsets a scale disadvantage at one-fifth of average peer enterprise value and a beta running well above the peer set. We apply company-reported adjusted EBITDA of \$882.3 million on which Paycom trades at 12.4x against the peer average of 12.5x. We continue to exclude EV to Revenue from the valuation for the reasons stated at initiation, and in the above relative valuation note.

The intrinsic and relative methods diverge by 22%, with the two discounted cash flow variants averaging \$187.77 against \$228.47 from comparable companies. We view this as informative rather than an error, seeing the relative methods value Paycom against peers carrying betas near 0.58 and therefore implicitly assume comparable risk, while our intrinsic methods discount at a rate reflecting the company's own. Our weighting places equal aggregate emphasis on the intrinsic and relative buckets, unchanged from initiation.

Risks Update

Thesis Risks Update

Risk	Probability	Impact	Mitigant
Labor-cycle downturn	Medium	High	Client employment growth described as stable in 2Q, with no deterioration through the first half. SMB exposure remains the primary cyclical risk.
Capital intensity normalizes above guidance	Medium	Medium	Capex guided to 6% of revenue against a 13.2% FY25 level. We model 6.5% past FY26. A return to prior investment levels reduces FCF
Automation cannibalization	Low	High	Continued Revenue per record growth since Beti inception, probability lowered from Medium at initiation
AI-native competition	Medium	Medium	Installed base, switching costs, and compliance breadth continue to buy time. The in-app purchase channel deepens platform dependence by lowering the friction of adding modules
Upmarket transition slower than modeled	Medium	Medium	Management declined to confirm that revenue from clients above 1,000 employees still outgrows the total. Partly offset by Project Arc anecdotal success
Float income decline	Medium	Low	Float guided to approximately \$105M, roughly 4.7% of revenue, disclosed sensitivity is \$25.7M per 100bp change in rates.

Leverage from buyback funding	Low	Low	\$900M drawn against a \$2.125B facility, 0.7x adjusted EBITDA, against covenants of 3.5x leverage and 3.0x interest coverage. Capacity is not the constraint on further repurchase
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Source: Analyst Estimates

The principal risk to our estimates remains the labor cycle, which is unchanged in character but improved in near-term evidence. Client employment growth was characterized as stable and consistent with prior periods, and the recurring revenue re-acceleration to 10.9% came without headcount tailwind, so the cycle is neither supporting nor pressuring results at present. With the recent Fed hike in September and prediction of more to follow, we will monitor employment data and their impact on PAYC's client base.

Two risks changed materially this quarter. We lower automation cannibalization from Medium probability to Low, as the quarter provided the cleanest evidence yet that monetization per record is rising rather than eroding. We add capital intensity normalization as a new risk, reflecting our fourth thesis: management's 6% capex guide sits well below the prior three-year average, and a return toward historical levels compresses free cash flow conversion from the level the market appears to be extrapolating.

We also add balance sheet leverage, which did not exist at initiation. The company entered the year debt-free and ended the second quarter with \$900 million drawn. At 0.7x adjusted EBITDA this is not a solvency concern, but it converts a previously unlevered equity into one where buyback pacing carries a financing cost, and interest expense of \$10.5 million in the quarter against \$0.8 million a year ago is now a visible earnings drag.

Thesis Invalidation Triggers

We would revisit our rating and thesis on any of the following measurable conditions:

- Blended revenue per employee record declines year over year for two consecutive quarters. The direct signal that automation cannibalization is outpacing cross-sell and monetization, invalidating Thesis 2. (Records are disclosed annually, so we monitor this on a bounded basis using recurring revenue growth against the historical record growth range.)
- Annual revenue retention falls below 90%, breaking the historical band near 91% and indicating that switching costs and the moat are eroding rather than holding, undercutting Thesis 1.
- Adjusted EBITDA margin compresses below 42% for two consecutive quarters absent a one-time item, signaling that the automation-driven cost advantage is deteriorating, which invalidates Thesis 3.
- Organic recurring revenue growth decelerates below 5% for two consecutive quarters outside a broad labor recession, which would indicate a structural rather than cyclical break in the growth engine.
- Net debt to adjusted EBITDA exceeds 2.0x on a sustained basis, which would signal that buyback funding has shifted from opportunistic to over-levered and that capital allocation has become a balance sheet risk rather than a return of value.
- Free cash flow conversion sustains above 60% of adjusted EBITDA for a full year excluding one-time tax items, with capital expenditures holding near 6% of revenue while product release cadence continues. This would invalidate our fourth thesis in the opposite direction, indicating that the conversion improvement is structural rather than a one-time step-down in capital intensity.

Conclusion

We are lowering our rating on Paycom to Hold and raising our fair value to \$207.65, roughly 8% below the current price of \$226.24. All three original theses have been strengthened, two with reframing: the in-app purchase channel gave the architectural advantage a new and previously unobservable expression, revenue per record rose on every reasonable estimate of record growth, and cost efficiency was confirmed by broad-based operating leverage across all four expense lines, with none of our invalidation triggers fired.

The rating change reflects price rather than performance, and the specific mispricing we now identify is the extrapolation of a free cash flow conversion rate that a one-time reduction in capital intensity produced, with capital expenditures accounting for 87% of this year's 20-point conversion improvement and 54% of the overall FCF improvement. The labor cycle remains the primary risk to our estimates, though client employment was described as stable through the first half, and the more immediate risk to our call is that capital intensity settles nearer management's 6% guide than our 6.5% assumption. We hold this view with moderate conviction over a six-to-twelve-month horizon.

Rating: HOLD **Price Target:** \$207.65 **Downside:** 8.2% **Time Horizon:** 6–12 months

Appendix

Supplementary Financial Tables

Comparable Companies Valuation Discount Bridge

Component	Metric	PAYC	Peer Anchor	Raw Gap	Discount	Note
<i>Disadvantages</i>						
Scale & Liquidity	Enterprise Value (\$M)	10,981	55,193	5.0x	4.0%	One-fifth of peer EV plus software P/E spread
SMB Cyclicalilty	Beta	1.023	0.58	+0.44	2.5%	Added SMB beta
<i>Gross Discount (%)</i>					6.5%	
<i>Offsets</i>						
Margin Leadership	Adj EBITDA Margin (%)	43.0%	36.3%	-6.72%	-2.0%	Stronger margins with heavy automation
Growth Visibility & Deceleration	Revenue Growth (%)	8.9%	7.8%	-1.2%	-1.0%	Growth trajectory vs Peers
Business model and Capital return	-				-0.5%	No PEO risk, share count -20% in 1H26
<i>Gross Offset (%)</i>					-3.5%	
Net Valuation Discount					-3.0%	

Sources & Methodology

Company Filings and Disclosures

- Paycom Software, Inc. Form 10-K, fiscal year ended December 31, 2025 (filed February 2026)
- Paycom Software, Inc. Form 10-K, fiscal year ended December 31, 2024
- Paycom Software, Inc. Form 10-Q, first quarter 2026
- Paycom Software, Inc. Form 10-Q, second quarter 2026
- Paycom Software, Inc. fourth quarter and full-year 2025 earnings release and supplemental materials (February 2026)

- Paycom Software, Inc. Schedule 13D/A, filed October 2025 (beneficial ownership, Chad Richison and Ernest Group, Inc.)
- Paycom Software, Inc. quarterly earnings call transcripts, 2023 through second quarter 2026

Market and Financial Data

- Bloomberg Terminal
- Damodaran online data
- Peer company filings and earnings releases: ADP, Paychex, and Paylocity

Industry and Competitive Context

- Business Research Insights
- IBISWorld
- Rippling, Gusto, and Deel Company Websites
- Forbes / Forbes Advisor

Methodology Note

- Valuation derived from a blend of discounted cash flow (perpetuity growth and exit multiple methods), comparable company analysis, and probability-weighted scenarios. Financial model, forecasts, and derived metrics including revenue per employee record and the deferred contract cost analysis are the author's own work built from primary filings.

Disclosures

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